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19

# Organization Design



# *Learning Objectives*

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**PART 1**. Describe **six key** elements in **organizational design**.

**PART 2**. Contrast **mechanistic** and **organic structures**.

**PART 3**. Discuss the **contingency factors** that favor either the mechanistic model or the organic model of organizational design.

**PART 4**. Describe **traditional organizational designs** options.

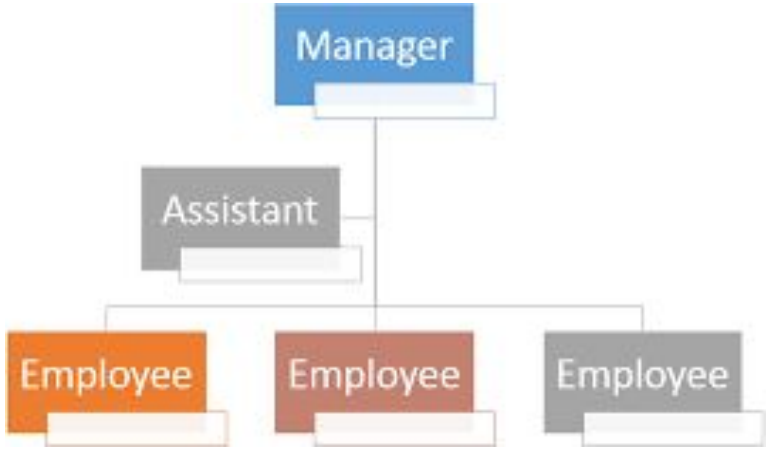
**PART 5**. Discuss **organizing for flexibility** in the twenty-first century.

# *Designing Organizational Structure*

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**Organizing** – arranging and structuring work to accomplish an organization's goals.

- **organizational structure** – the formal arrangement of jobs within an organization.
- **organizational chart** – the visual representation of an organization's structure.
- when managers create or change the structure, they're engaged in **organizational design.**



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# *Purposes of Organizing*

- Divides work to be done into specific jobs and departments.
- Assigns tasks and responsibilities associated with individual jobs.
- Coordinates diverse organizational tasks.
- Clusters jobs into units.
- Establishes relationships among individuals, groups, and departments.
- Establishes formal lines of authority.
- Allocates and deploys organizational resources.

# *Designing Organizational Structure*

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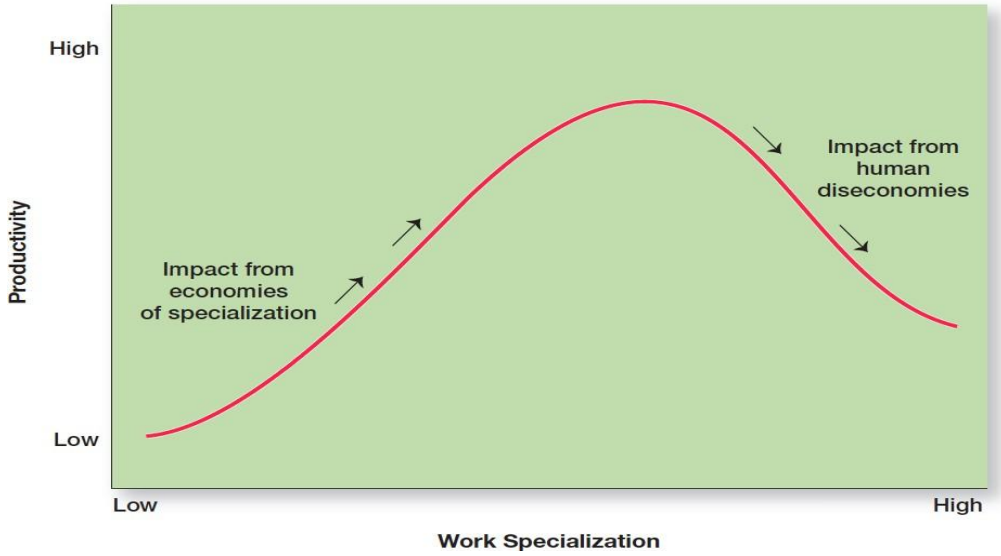
**Organizational Design** – a process involving decisions about **six key elements**

| | | | | | |
|---|---|---|---|---|---|
| 1 | Work specialization | 2 | Departmentalization | 3 | Chain of command |
| 4 | Span of control | 5 | Centralization and decentralization | 6 | Formalization |

# *Work Specialization*

**Work specialization** – dividing work activities into **separate job tasks**.

- Early proponents of work **specialization** believed it could **lead to great increases in productivity**.
- **However, overspecialization** can result in human **diseconomies** such as boredom, fatigue, stress, poor quality, increased absenteeism, and higher turnover.



# *Departmentalization*

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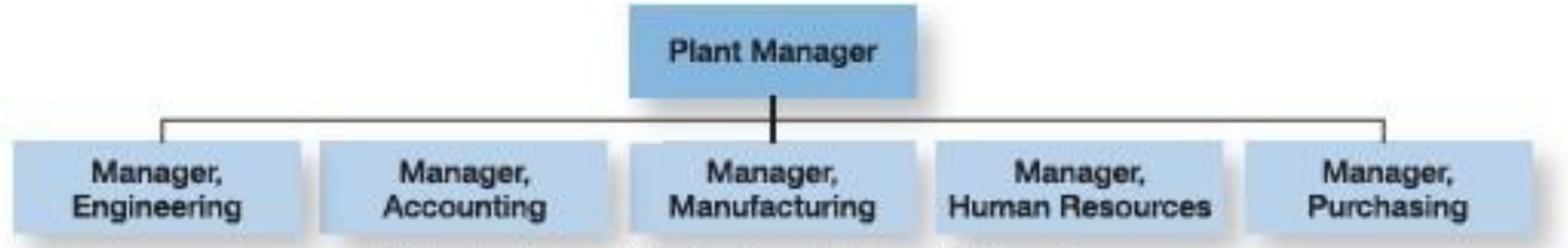
**Departmentalization** - the basis by which **jobs are grouped together**.

| Functional | Product | Geographical | Process | Customer |
|---|---|---|---|---|
| Grouping jobs by functions performed | Grouping jobs by product line | Grouping jobs on the basis of territory or geography | Grouping jobs on the basis of product or customer flow | Grouping jobs by type of customer and needs |

# *The Five Common Forms of Departmentalization*



**FUNCTIONAL DEPARTMENTALIZATION—Groups Jobs According to Function**



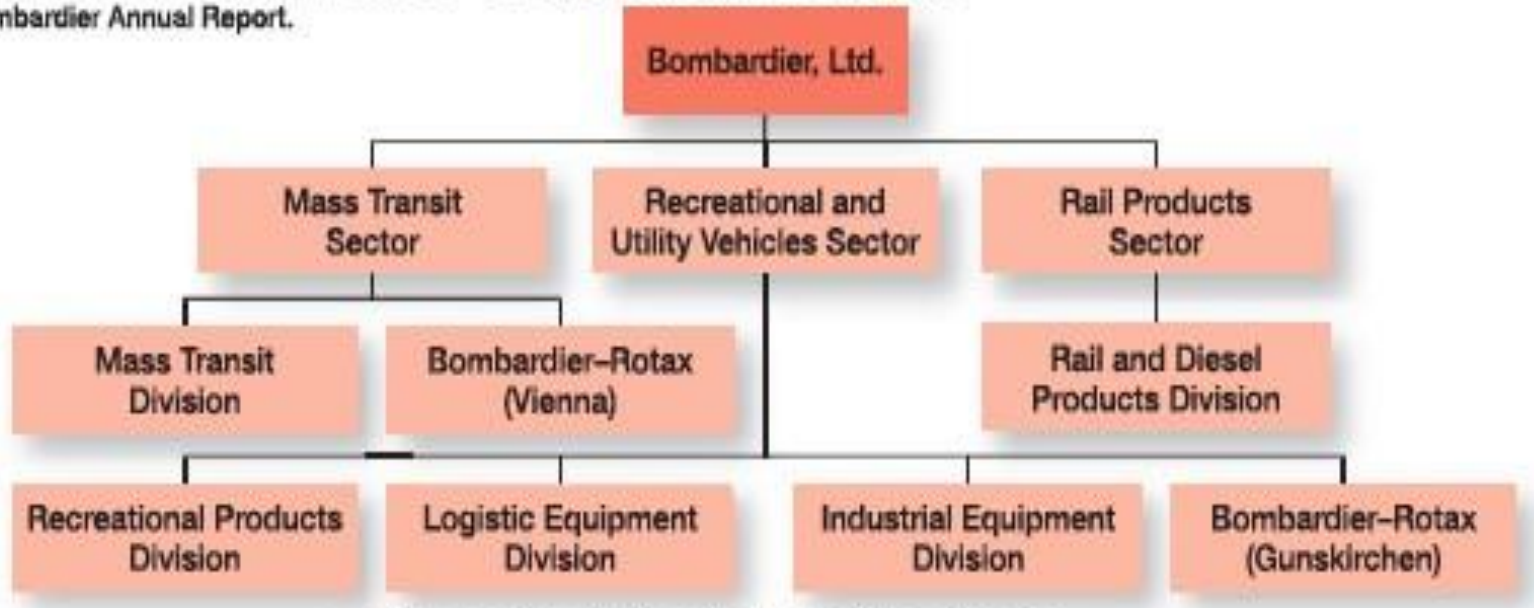

- \+ Efficiencies from putting together similar specialties and people with common skills, knowledge, and orientations
- \+ Coordination within functional area
- \+ In-depth specialization
- – Poor communication across functional areas
- – Limited view of organizational goals

# *The Five Common Forms of Departmentalization*



**PRODUCT DEPARTMENTALIZATION—Groups Jobs by Product Line**

Source: Bombardier Annual Report.




\+ Allows specialization in particular products and services
\+ Managers can become experts in their industry
\+ Closer to customers
\- Duplication of functions
\- Limited view of organizational goals

# *The Five Common Forms of Departmentalization*

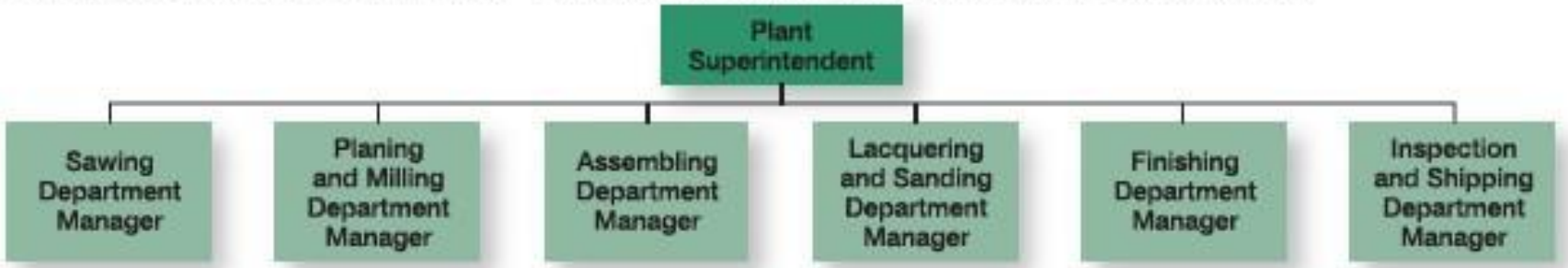


**GEOGRAPHICAL DEPARTMENTALIZATION—Groups Jobs According to Geographic Region**




\+ More effective and efficient handling of specific regional issues that arise
\+ Serve needs of unique geographic markets better
– Duplication of functions
– Can feel isolated from other organizational areas

**PROCESS DEPARTMENTALIZATION—Groups Jobs on the Basis of Product or Customer Flow**




\+ More efficient flow of work activities
– Can only be used with certain types of products

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# *The Five Common Forms of Departmentalization*

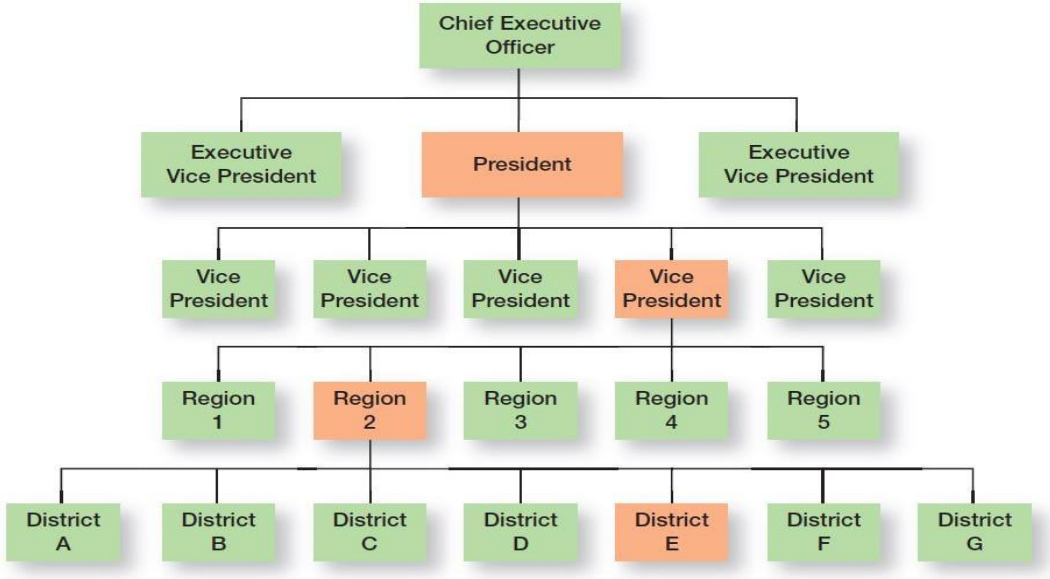



**Departmentalization trends:**

- Increasing use of **customer departmentalization**
- Increasing use of **teams**
  - **Cross-functional team** – a work team composed of individuals from various functional specialties.

# *Chain of Command*

**Chain of Command** – the continuous line of authority that extends from upper levels of an organization to the lowest levels of the organization—**clarifies who reports to whom.**




- **Responsibility** – the obligation or expectation to perform.
- **Unity of command** – the management principle that each person should **report to only one manager**.

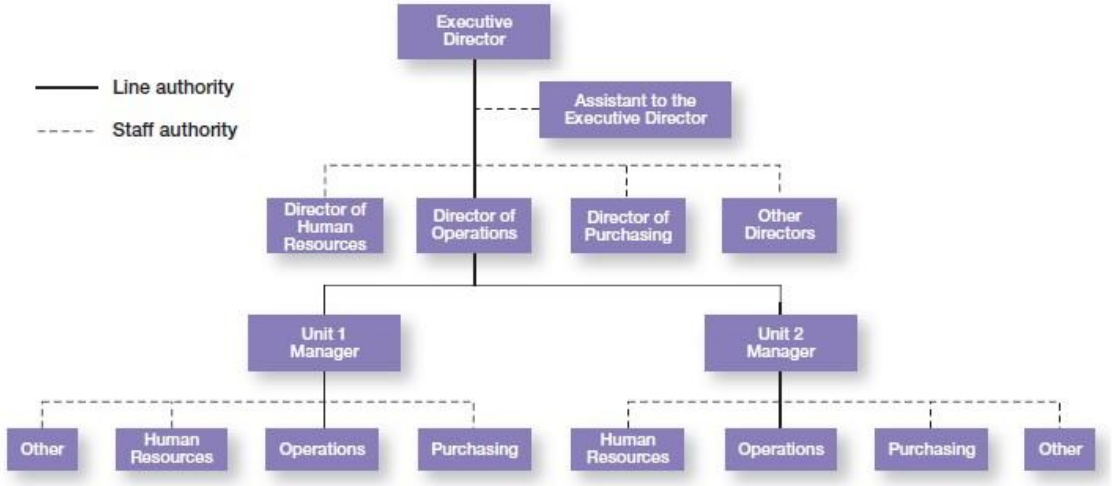
# *Chain of Command: Authority*

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**Authority** – the **rights** inherent in a **managerial position** to tell people what to do and to expect them to do it.

- **Acceptance theory of authority** – the view that authority comes from the willingness of subordinates to accept it.

- **Line authority** – authority that entitles a **manager** to **direct** the work of an employee.
- **Staff authority** – positions with some authority that have been created to **support, assist, and advise** those holding line authority.

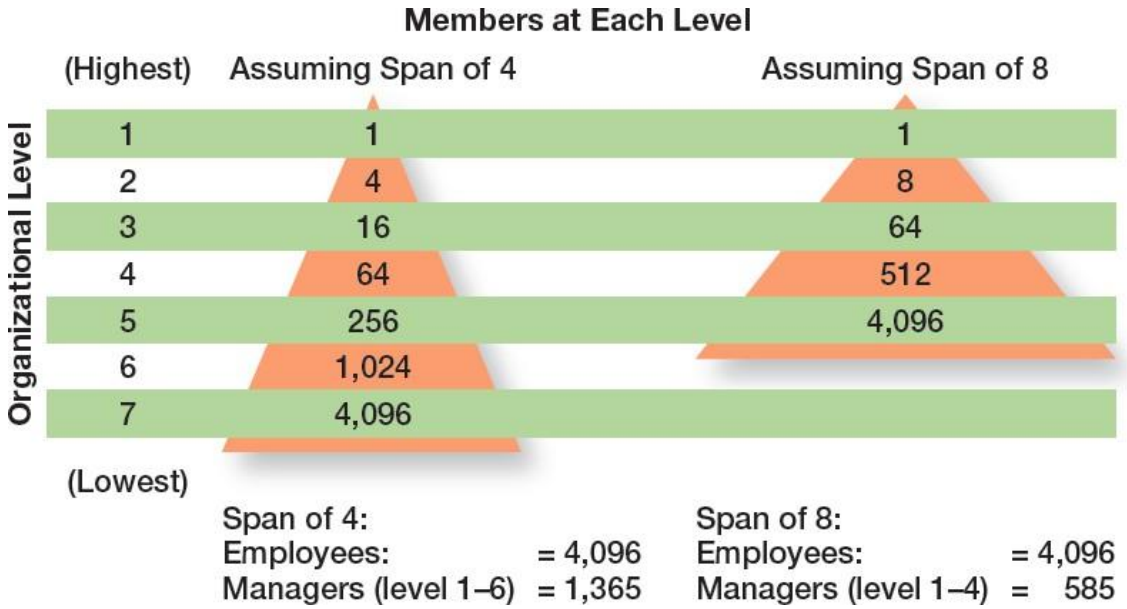


# *Span of Control*

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**Span of control -** the **number of employees** who can be effectively and efficiently **supervised** by a manager.

## Contrasting span of control



# *Centralization and Decentralization*

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**Centralization**

- The degree to which decision-making is **concentrated at the upper levels** of the organization.

**Decentralization**

- The degree to which **lower-level employees** provide input or actually make decisions.
- **Employee empowerment**
  - giving employees more authority (power) to make decisions.

# *Centralization or Decentralization*

| More Centralization | More Decentralization |
|---|---|
| • Environment is stable. | • Environment is complex, uncertain. |
| • Lower-level managers are not as capable or experienced at making decisions as upper-level managers. | • Lower-level managers are capable and experienced at making decisions. |
| • Lower-level managers do not want a say in decisions. | • Lower-level managers want a voice in decisions. |
| • Decisions are relatively minor. | • Decisions are significant. |
| • Organization is facing a crisis or the risk of company failure. | • Corporate culture is open to allowing managers a say in what happens. |
| • Company is large. | • Company is geographically dispersed. |
| • Effective implementation of company strategies depends on managers retaining say over what happens. | • Effective implementation of company strategies depends on managers having involvement and flexibility to make decisions. |

# *Formalization*

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**Formalization -** The **degree** to which jobs within the organization are **standardized** and the extent to which employee behavior is guided by rules and procedures.

**Highly formalized jobs** offer little discretion over what is to be done

**Low formalization** means fewer constraints on how employees do their work.

# *Mechanistic and Organic Structures*



**Mechanistic organization**
an organizational design that's rigid and tightly controlled.

**Organic organization**
an organizational design that's highly adaptive and flexible.

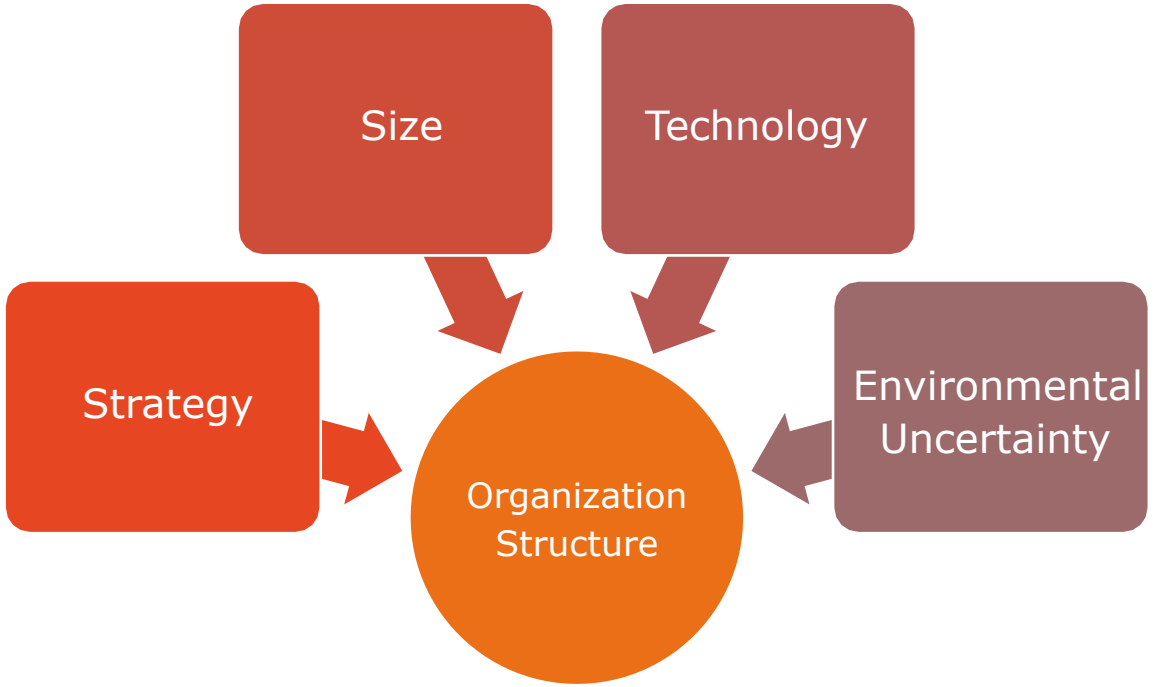
**Mechanistic**

- High specialization
- Rigid departmentalization
- Clear chain of command
- Narrow spans of control
- Centralization
- High formalization

**Organic**

- Cross-functional teams
- Cross-hierarchical teams
- Free flow of information
- Wide spans of control
- Decentralization
- Low formalization

# *Contingency Factors Affecting Structural Choice*




Structural decisions are **influenced** by organization's **strategy**, **size**, **technology** and **environmental uncertainty**

# *Contingency Factors Affecting Structural Choice*

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## Strategy and Structure

- Changes in corporate strategy should lead to changes in an organization's structure that support the strategy.
- Certain structural designs work best with different organizational strategies.

The **organic** structure works well for organizations pursuing meaningful and unique **innovations**. The **mechanistic** organization works best for companies wanting to **tightly control costs**.

## Size and Structure

- As an organization grows **larger**, its structure tends to **change from organic to mechanistic** with increased specialization, centralization departmentalization, and rules/regulations.

# *Contingency Factors Affecting Structural Choice*

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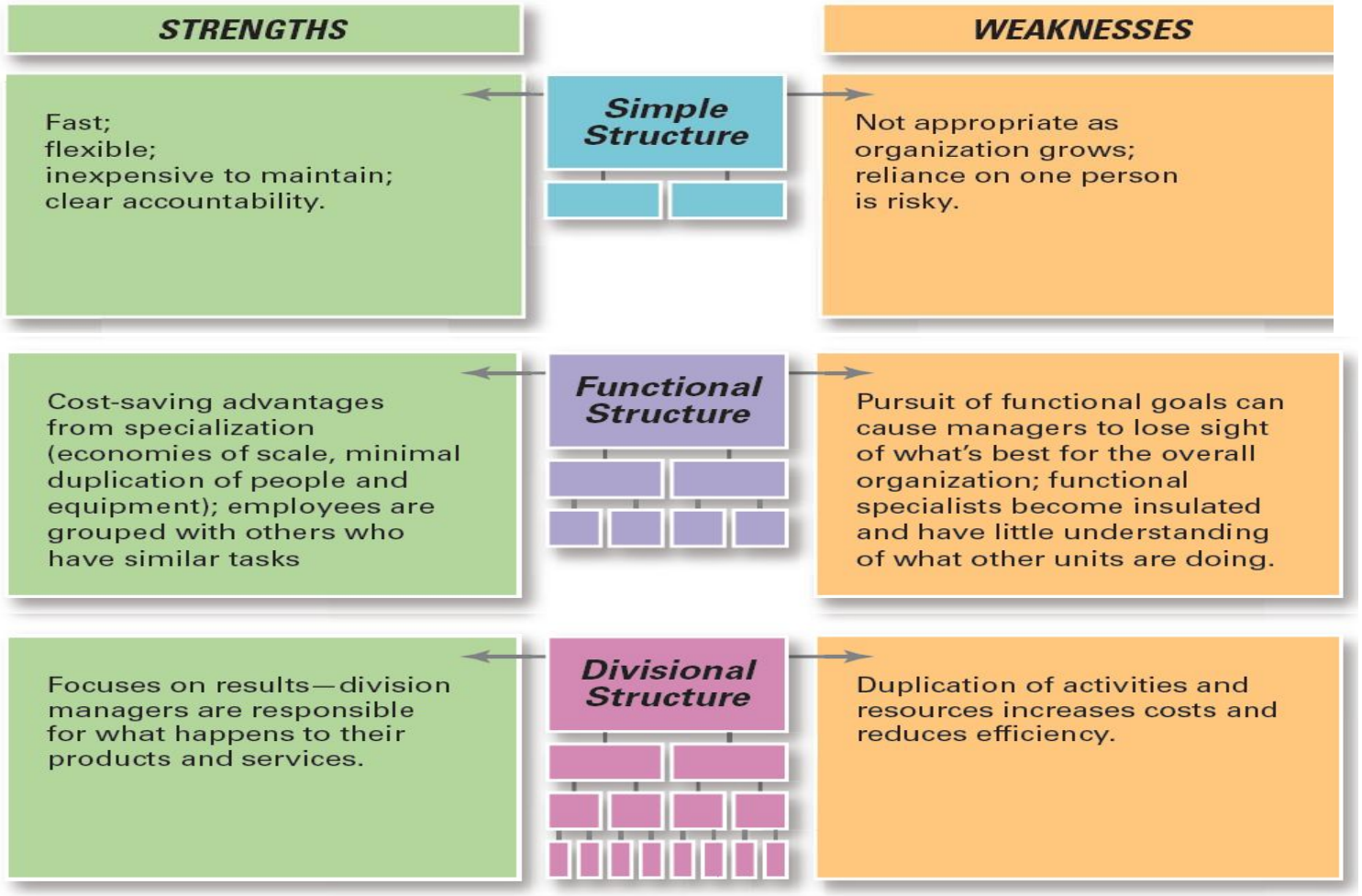
## Technology and Structure

- Organizations adapt their structures to their technology.
- Mechanistic organizational structures tend to be most effective in **mass production** (large batch manufacturing).

## Environmental Uncertainty and Structure

- Mechanistic organizational structures tend to be most effective in stable and simple environments.
- The flexibility of organic organizational structures is better suited for dynamic and complex environments.

# Traditional Organizational Designs




an organizational design with **low departmentalization**, **wide spans of control**, **centralized** authority, and **little formalization**.

an organizational design that **groups together similar** or related **occupational specialties**.

an organizational structure **made up of separate, semiautonomous units** or divisions.

# *Flexible Organizational Designs*

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## Team Structure

- **Team Structure** – an organizational structure in which the entire organization is made up of work teams

## Matrix-Project Structure

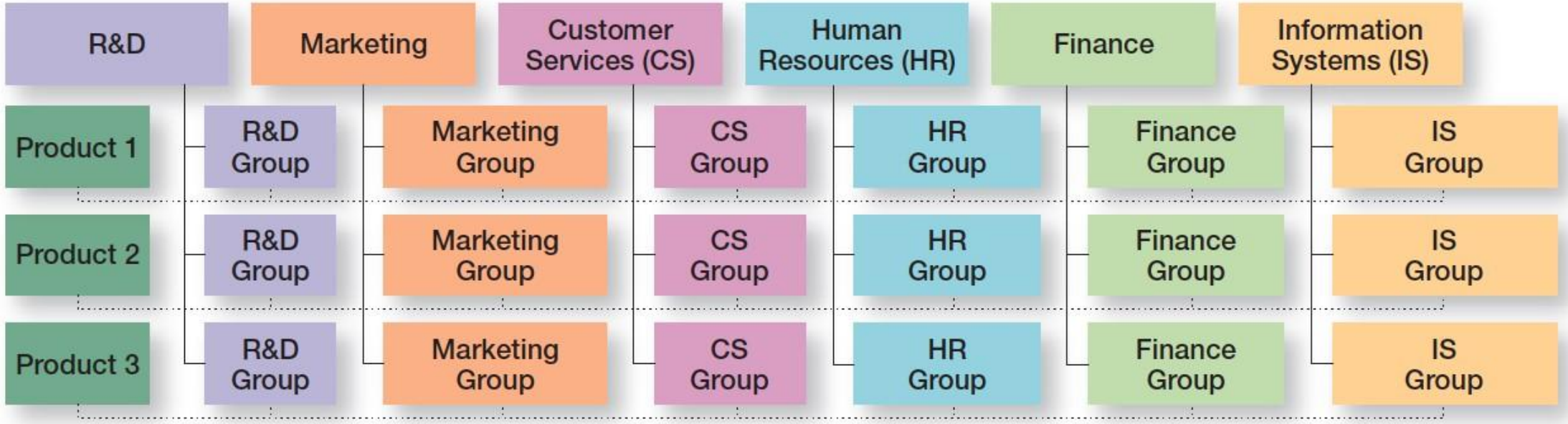
- **Matrix Structure** – an organizational structure that assigns specialists from different functional departments to work on one or more projects
- **Project Structure** – an organizational structure in which employees continuously work on projects.

## The Boundaryless Organization

- **Boundaryless Organization** – an organization whose design is not defined by, or limited to, the horizontal, vertical, or external boundaries imposed by a predefined structure
- **Virtual Organization** - consists of a small core of full-time employees and outside specialists temporarily hired as needed to work on projects

# *Example of a Matrix Organization*





# *Referensi*


- Robbins, Stephen P & Coulter, Mary A. (2017). Management (14th edition). London : Pearson Education.

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# *Organizing Around Team*



# *Learning Objectives*

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**PART 1**. Define groups and **the stages of group development**.

**PART 2**. Describe the major **components** that **determine group performance** and satisfaction.

**PART 3**. Define teams and **best practices influencing team performance**.

**PART 4**. Discuss **contemporary issues** in managing teams.

# *What Is a Group?*

**Group** – two or more interacting and interdependent individuals who come together to achieve specific goals.

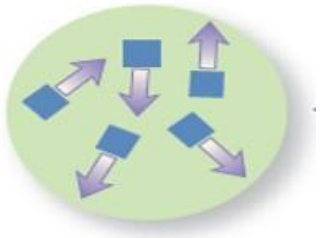
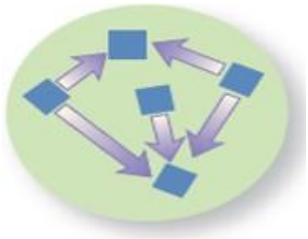
| Formal groups | Informal groups |
| --- | --- |
| • Work groups defined by the organization's structure that have designated work assignments and tasks. | • Groups that are independently formed to meet the social needs of their members. |

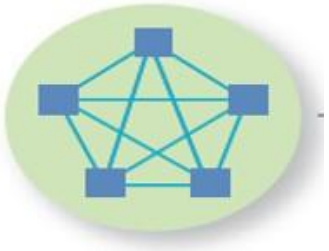
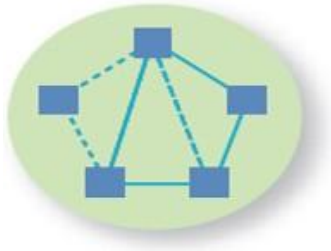
# *Examples of Formal Work Groups*

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- *Command groups*—Groups determined by the organizational chart and composed of individuals who report directly to a given manager.
- *Task groups*—Groups composed of individuals brought together to complete a specific job task; their existence is often temporary because when the task is completed, the group disbands.
- *Cross-functional teams*—Groups that bring together the knowledge and skills of individuals from various work areas or groups whose members have been trained to do each others' jobs.
- *Self-managed teams*—Groups that are essentially independent and that, in addition to their own tasks, take on traditional managerial responsibilities such as hiring, planning and scheduling, and evaluating performance.

# *Stages of Group Development*

**Forming**

The first stage of group development in which people **join** the group and then **define** the group's **purpose, structure, and leadership**.

**Storming**

The second stage of group development, characterized by **intragroup conflict.**

**Norming**

The third stage of group development, characterized by **close relationships and cohesiveness.**

**Performing**

The fourth stage of group development when the group is **fully functional** and works on group task.

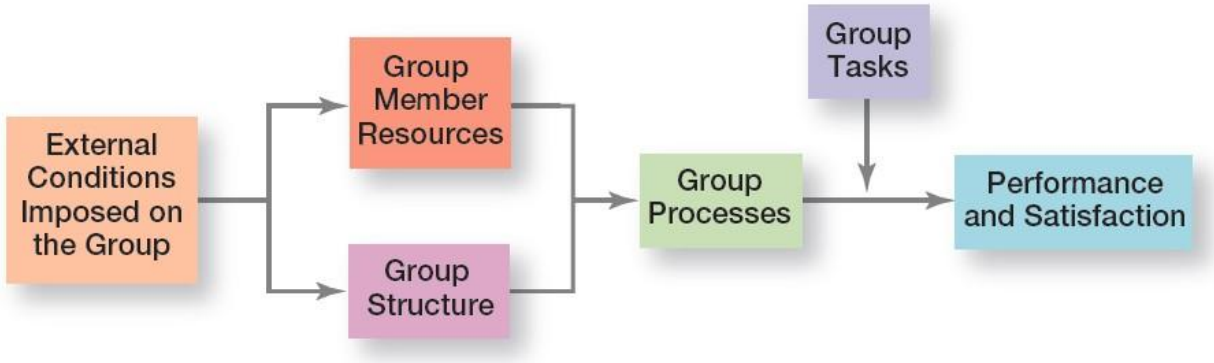
**Adjourning**

The final stage of group development for temporary groups during which group members are **concerned with wrapping up activities rather than task performance.**

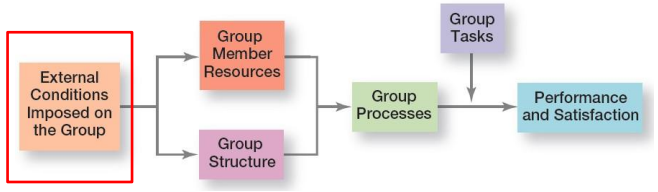
# *Work Group Performance and Satisfaction*

*Why are some groups **more successful** than others?*

- The abilities of the group's members
- The size of the group
- The level of conflict
- The internal pressures on members to conform to the group's norms



# *External Conditions Imposed on the Group*

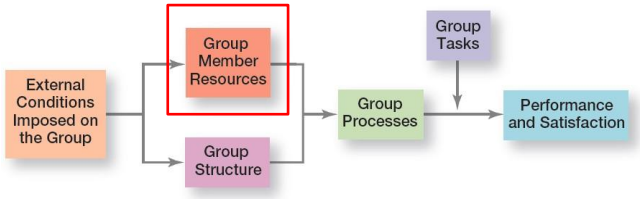



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Work groups are affected by the **external conditions** imposed on it:

- The organization's strategy
- Authority relationships
- Formal rules and regulations
- Availability of resources
- Employee selection criteria
- The performance management system and culture
- The general physical layout of the group's work space

# *Group Member Resources*

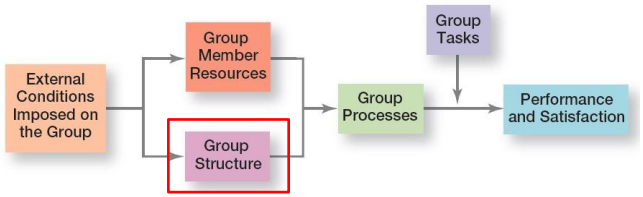





A group's performance potential depends to a large extent on the resources each individual brings to the group, including:

- Knowledge
- Abilities
- Skills
- Personality traits

# Group Structure






| | |
|---|---|
| **Role** | • Behavior patterns expected of someone occupying a given position in a social unit. |
| **Norms** | • Standards or expectations that are accepted and shared by a group's members. |
| **Groupthink** | • When a group exerts extensive pressure on an individual to align his or her opinion with that of others. |
| **Status** | • A prestige grading, position, or rank within a group. |
| **Social loafing** | • The tendency for individuals to expend less effort when working collectively than when working individually. |
| **Group Cohesiveness** | • The degree to which group members are attracted to one another and share the group's goals. |

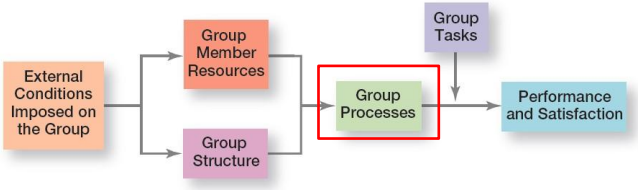
# *Group Structure*

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## Group Size and Group Performance

- **Small groups are faster** than larger ones at completing tasks
- **Large** groups consistently **get better problem solving** results than smaller ones
- Amazon founder and CEO Jeff Bezos uses a “two-pizza” philosophy; that is, a team should be small enough that it can be fed with two pizzas.

# Group Process




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**Group Processes** - processes that go on within a work group determines group performance and satisfaction, including:

## Group Decision Making

**Advantages of group decision-making**

- More complete information and knowledge
- A diversity of experience and perspectives
- Increased acceptance of a solution

**Disadvantages of group decision-making**

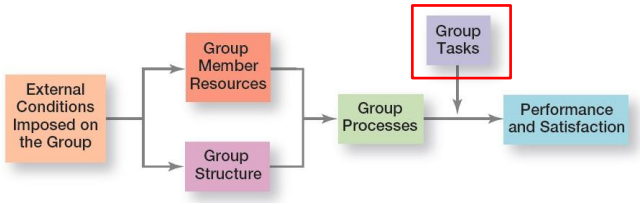
- Groups almost always take more time to reach a solution
- Dominant and vocal minority can influence the decision
- Groupthink

## Conflict Management

Some conflict is necessary for a group to perform effectively.

| | | |
|---|---|---|
| **Task conflict** | • Conflicts over content and goals of the work. | Functional |
| **Relationship conflict** | • Conflict based on interpersonal relationships. | Dysfunctional |
| **Process conflict** | • Conflict over how work gets done. | Functional |

# Group Task






The impact that group processes have on group performance and member satisfaction is **modified by the task** the group is doing.

The **more complex** the task, the more a group benefits from group discussion about alternative work methods.

A **high degree of interdependence** among the tasks that group members must perform means they'll need to interact more.

Thus, **effective communication** and **controlled conflict** are **most relevant** to group performance **when tasks are complex and interdependent**.

# *Creating Effective Work Teams*

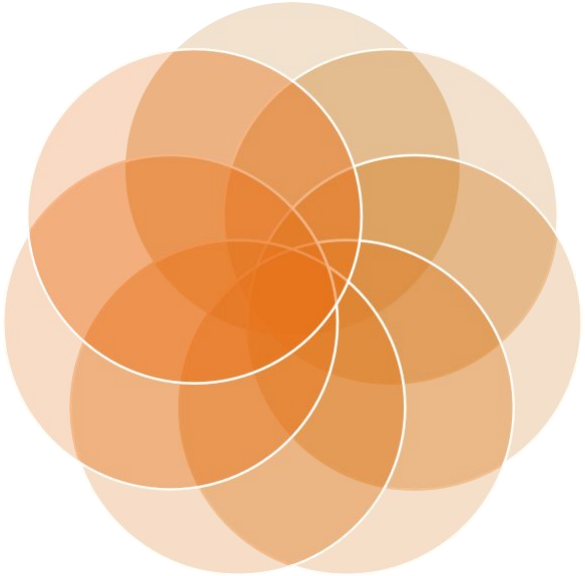


**Clear Goals**

- High-performance teams have a clear understanding of the goal to be achieved.

**Appropriate Leadership**

- Leaders motivate a team to follow through difficult situations.



**Relevant Skills**

- Team members have the necessary technical and interpersonal skills.

**Negotiating Skills**

- Members need to be able to confront and reconcile differences.

**Mutual Trust**

- Effective teams are characterized by high mutual trust among members.

**Good Communication**

- Messages are clearly understood.

**Unified Commitment**

- Members are dedicated to team goals.

# *Contemporary Challenges in Managing Teams*



## Managing Global Team

- Managers need to clearly understand the cultural characteristics of group members.
- Issues include conformity, status, social loafing, and cohesiveness.

## Building Team Skill

- Managers must view their role as more of being a **coach** and developing team members in order to create more committed, collaborative, and inclusive teams.

## Social Networks

- The **patterns of informal connections** among individuals within groups.
- Relationships improve team goal attainment and increase member commitment to the team.

# *Referensi*


- Robbins, Stephen P & Coulter, Mary A. (2017). Management (14th edition). London : Pearson Education.

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# *Human Resource Management*



# *Learning Objectives*

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**PART 1**. Explain the **importance of the human resource management process** and the external influences that might affect that process.

**PART 2**. Discuss the tasks associated with **identifying and selecting** competent employees.

**PART 3**. Explain the different types of **orientation and training**.

**PART 4**. Describe strategies for **retaining** competent, high-performing **employees**.

**PART 5**. Discuss **contemporary issues** in managing human resources.

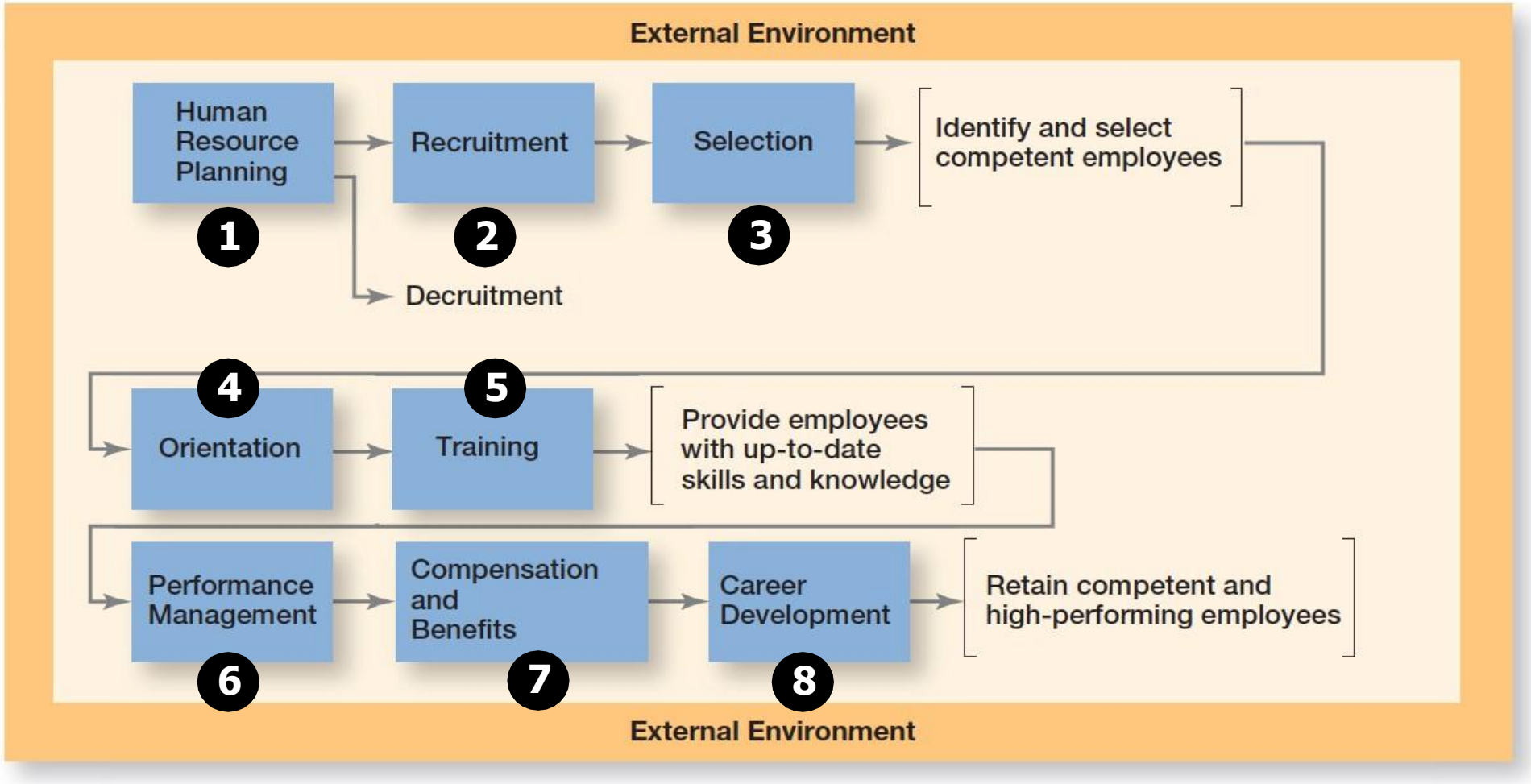
# *Why Is HRM Important?*

- As a significant **source of competitive advantage**
  - People-oriented HR creates superior shareholder value
- As an **important strategic tool**
  - Achieve competitive success through people by treating employees as partners
- To **improve organizational performance**
  - **High – performance work practices:** work practices that lead to both high individual and high organizational performance

# *High-Performance Work Practices*

- Self-managed teams
- Decentralized decision making
- Training programs to develop knowledge, skills, and abilities
- Flexible job assignments
- Open communication
- Performance-based compensation
- Staffing based on person–job and person–organization fit
- Extensive employee involvement
- Giving employees more control over decision making
- Increasing employee access to information

# *Human Resource Management Process*



# External Factors That Affect the HRM Process

**Economy**

Many of jobs are becoming **temporary** or **contract** positions, rather than full-time jobs with benefits

**Employee Labor Unions**

**Work stops**, labor disputes, and **negotiations** between management and labor.

Human Resource Management Process

**Governmental Laws And Regulations**

**Current Indonesian laws** that have the potential to affect future HRM practices

**Demographic Trends**

More millennials & gen Z in workforce.



# *Human Resource Management Process*



## 1 Human resource planning

- Ensuring that the organization has the **right number** and kinds of capable **people** in the **right places** and at the **right times**.
- **Two steps of HR planning:**
  - (1) assessing current human resources
  - (2) meeting future HR needs
- **Job analysis** – an assessment that defines jobs and the behaviors necessary to perform them.
  - ❑ **Job description** – a written statement that describes a job.
  - ❑ **Job specification** – a written statement of the minimum qualifications a person must possess to perform a given job successfully.

# *Recruitment and Decruitment*

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## ❷ Recruitment

**Recruitment**

Locating, identifying, and attracting capable applicants.

| Source | Advantages | Disadvantages |
|---|---|---|
| Internet | Reaches large numbers of people; can get immediate feedback | Generates many unqualified candidates |
| Employee referrals | Knowledge about the organization provided by current employee; can generate strong candidates because a good referral reflects on the recommender | May not increase the diversity and mix of employees |
| Company Web site | Wide distribution; can be targeted to specific groups | Generates many unqualified candidates |
| College recruiting | Large centralized body of candidates | Limited to entry-level positions |
| Professional recruiting organizations | Good knowledge of industry challenges and requirements | Little commitment to specific organization |

# *Recruitment and Decruitment*



## ❷ Recruitment

### Decruitment

Reducing an organization's workforce

| Option | Description |
|---|---|
| Firing | Permanent involuntary termination |
| Layoffs | Temporary involuntary termination; may last only a few days or extend to years |
| Attrition | Not filling openings created by voluntary resignations or normal retirements |
| Transfers | Moving employees either laterally or downward; usually does not reduce costs but can reduce intraorganizational supply–demand imbalances |
| Reduced workweeks | Having employees work fewer hours per week, share jobs, or perform their jobs on a part-time basis |
| Early retirements | Providing incentives to older and more senior employees for retiring before their normal retirement date |
| Job sharing | Having employees share one full-time position |

# *Human Resource Management Process*

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## ❸ Selection

Screening job applicants to ensure that the most appropriate candidates are hired.

**Application Forms**

- Almost universally used
- Most useful for gathering information
- Can predict job performance but not easy to create one that does

**Written Tests**

- Must be job related
- Include intelligence, aptitude, ability, personality, and interest tests
- Are popular (e.g., personality tests; aptitude tests)
- Relatively good predictor for supervisory positions

**Performance-Simulation Tests**

- Use actual job behaviors
- Work sampling—test applicants on tasks associated with that job; appropriate for routine or standardized work
- Assessment center—simulate jobs; appropriate for evaluating managerial potential

**Interviews**

- Almost universally used
- Must know what can and cannot be asked
- Can be useful for managerial positions

# *Human Resource Management Process*



## 3 Orientation

Introducing a new employee to his or her job and the organization.

## 4 Training

- Employee training is an important HRM activity.
- As job demands change, employee skills have to change.

# *Traditional Training Methods*

*On-the-job*—Employees learn how to do tasks simply by performing them, usually after an initial introduction to the task.

*Job rotation*—Employees work at different jobs in a particular area, getting exposure to a variety of tasks.

*Mentoring and coaching*—Employees work with an experienced worker who provides information, support, and encouragement; also called apprenticeships in certain industries.

*Experiential exercises*—Employees participate in role playing, simulations, or other face-to-face types of training.

*Workbooks/manuals*—Employees refer to training workbooks and manuals for information.

*Classroom lectures*—Employees attend lectures designed to convey specific information.

# *Human Resource Management Process*



## 6 Performance Management

Establishes performance standards used to evaluate employee performance.

# *Performance Appraisal Methods*

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## Graphic Rating Scale

Popular method that lists a set of performance factors and an incremental scale; evaluator goes down the list and rates employee on each factor.

\+ Provides quantitative data; not time-consuming

– Doesn't provide in-depth information on job behavior

## 360-Degree Appraisal

Utilizes feedback from supervisors, employees, and coworkers.

\+ Thorough

– Time-consuming

## Written Essay

Evaluator writes a description of employee's strengths and weaknesses, past performance, and potential; provides suggestions for improvement.

\+ Simple to use

– May be better measure of evaluator's writing ability than of employee's actual performance

# *Performance Appraisal Methods*

**Critical Incident**

Evaluator focuses on critical behaviors that separate effective and ineffective performance.

+ Rich examples, behaviorally based
– Time-consuming, lacks quantification

**BARS (Behaviorally Anchored Rating Scale)**

Popular approach that combines elements from critical incident and graphic rating scale; evaluator uses a rating scale, but items are examples of actual job behaviors.

+ Focuses on specific and measurable job behaviors
– Time-consuming; difficult to develop

**Multiperson Comparison**

Employees are rated in comparison to others in work group.

+ Compares employees with one another
– Difficult with large number of employees; legal concerns

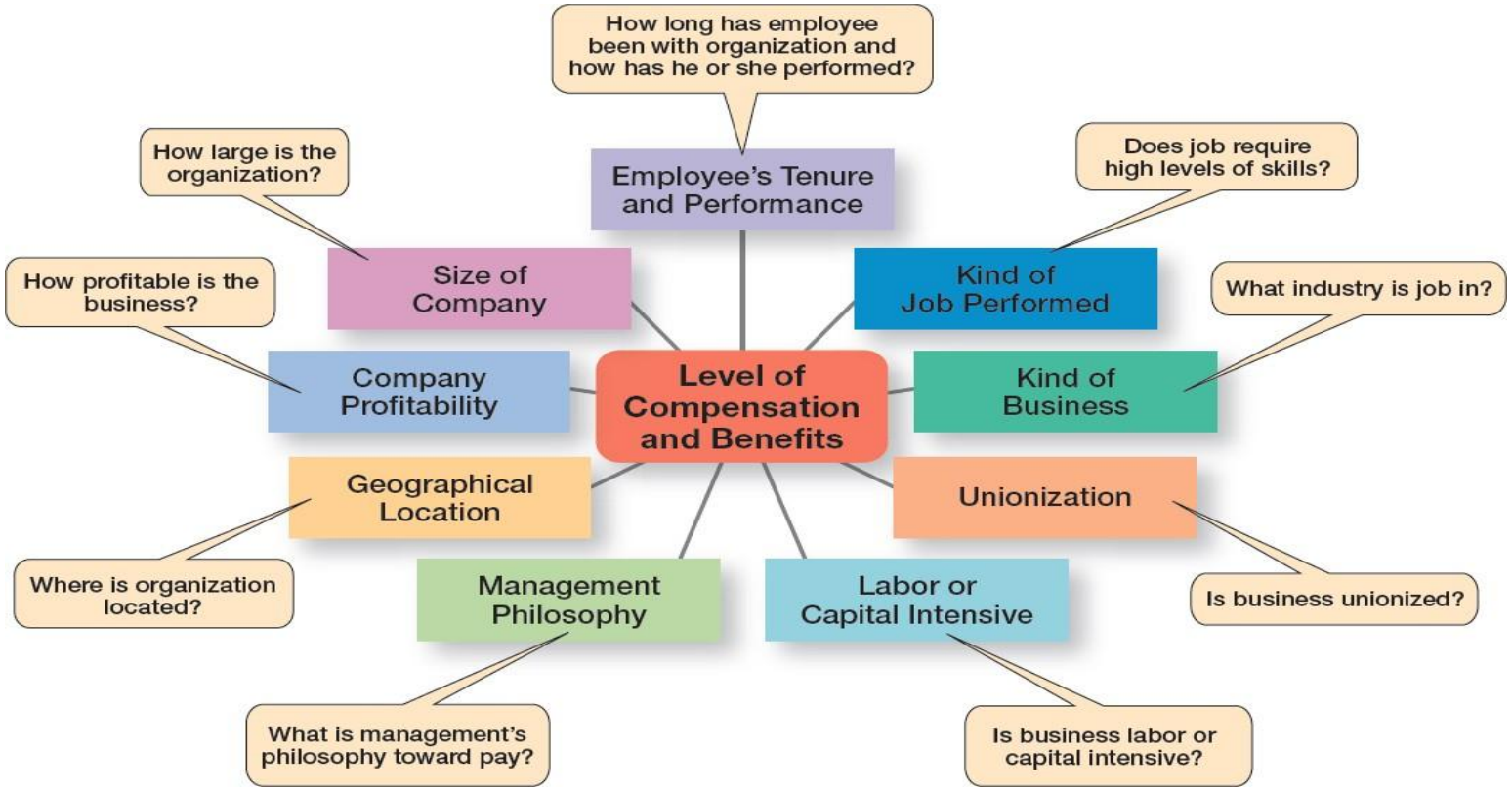
**MBO**

Employees are evaluated on how well they accomplish specific goals.

+ Focuses on goals; results oriented
– Time-consuming

# Human Resource Management Process

## 7 Compensation and Benefits



# *Human Resource Management Process*



## 7 Compensation and Benefits

**Skill-based pay** — a pay system that rewards employees for **the job skills** they can demonstrate

**Variable pay** — a pay system in which an individual's compensation is contingent on **performance**

# *Contemporary Issues in Managing Human Resources*



- **Downsizing** – the planned elimination of jobs in an organization.
- **Family-friendly benefits** – benefits that accommodate employees' needs for work–life balance.
- **Employee fringe benefits**
  - ❑ Employee Health Care Costs
  - ❑ Employee Pension Plan Costs

# *Referensi*


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